ETHIOPIA

Table 1	2021
Population, million	117.9
GDP, current US$ billion	114.6
GDP per capita, current US$	972.5
International poverty rate ($1.9)[a]	30.8
Lower middle-income poverty rate ($3.2)[a]	68.9
Upper middle-income poverty rate ($5.5)[a]	90.2
Gini index[a]	35.0
School enrollment, primary (% gross)[b]	119.4
Life expectancy at birth, years[b]	66.6
Total GHG Emissions (mtCO2e)	213.6

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2015), 2011 PPPs.
b/ WDI for School enrollment (2020); Life expectancy (2019).

An increased import bill and a decline in official aid flows have led to a weakening of the balance of payments and a significant drawdown in reserves. Growth in FY22 is expected to ease from 6.3 percent in FY21, impacted by the armed conflict, and inflation is likely to remain high, as oil and wheat prices increase. This is expected to result in a slowdown in poverty reduction.

Key conditions and challenges

Ethiopia has been among the fastest growing countries in the world, with GDP expanding at an average rate of 10 percent during FY04-FY20. Growth has been driven by large-scale public investment in infrastructure. While poverty declined by about 10 percentage points during 2004-2016, gains are modest when compared to other countries that saw fast growth, and inequality has increased in recent years.

The limitations of the state-led development model in Ethiopia have become apparent in recent years. Structural transformation remains incipient, and the role of the private sector is constrained by SOE dominance and an uneven playing field. The financing of the large capital investments coupled with a loss in competitiveness, caused by an overvalued exchange rate, have put the country at high risk of debt distress. Acknowledging these shortcomings, the authorities launched a Homegrown Economic Reform Agenda in September 2019, aiming to foster efficiency and introduce competition in key growth-enabling sectors (energy, logistics, and telecom), improve the business climate, and address macroeconomic imbalances. Among other measures, authorities are expected to adopt a market-determined exchange rate and introduce a modern monetary policy framework by end-2022.

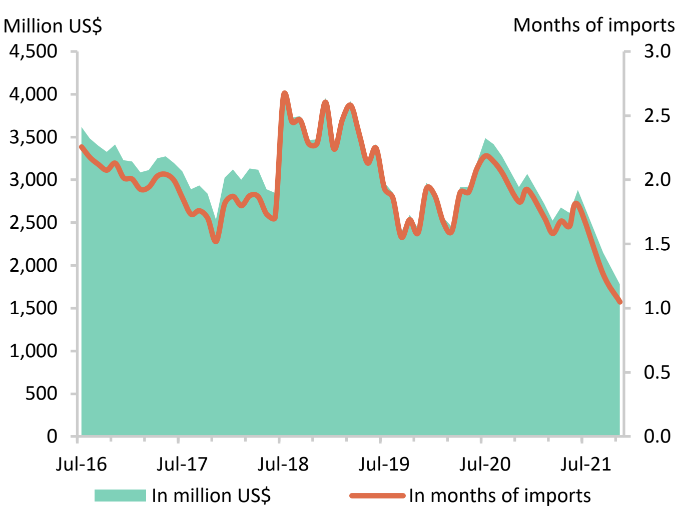
Downside risks loom large over the outlook presented below. While has been a significant de-escalation in the armed confrontation between federal and allied regional forces and Tigrayan forces since December and both sides seem to be more open to seek a solution through diplomacy, the risks associated to a protracted conflict remain significant. Impacts on agriculture are also being compounded by the ongoing drought affecting the Horn of Africa. Finally, there are risks that macroeconomic stability is affected and economic reforms are delayed or reversed.

Recent developments

At 6.3 percent according to official figures, growth surprised on the upside in FY21, as agriculture performance in the second part of the year was better-than-expected. The few available high-frequency indicators suggest growth has been sluggish in the second half of 2021, as electricity generation dropped, capital imports contracted, and regional authorities in Amhara reported that 41 million quintals of agriculture production (or about 10 percent of the production of the previous year) had been lost due to the conflict.

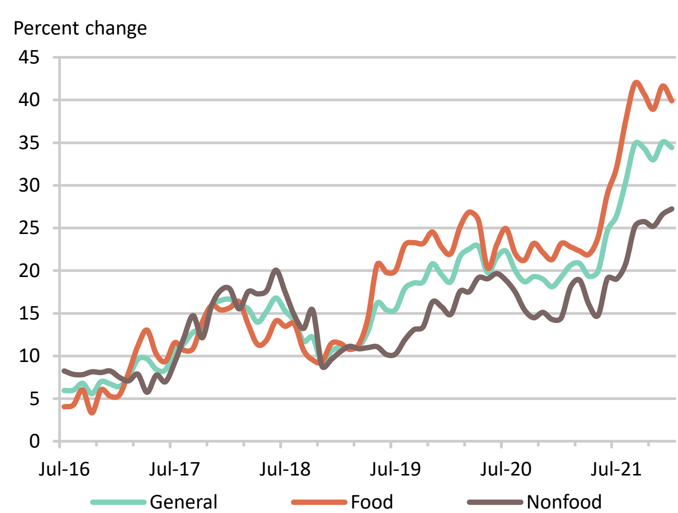
Merchandise exports grew at 21.8 percent year-on-year (y-o-y) during July-November 2021. While gold exports have declined after the surge in FY20, exports of coffee, meat, and vegetables have been strong in both volumes and values, and textile and flower exports have rebounded. Merchandise imports have expanded

FIGURE 1 Ethiopia / Gross foreign exchange reserves



Source: National Bank of Ethiopia.

FIGURE 2 Ethiopia / Evolution of inflation, y-o-y percentage change



Source: Central Statistical Agency of Ethiopia.

fast (24.3 percent y-o-y), driven by a larger fuel and cereal bill as international prices climb up. This has resulted in a significant widening of the current account deficit. During the first five months of FY22, a significant drawdown of reserves was needed, as official transfers halved (-47.8 percent y-o-y), and despite robust FDI inflows (26.9 percent y-o-y). Reserves stood in November at US$1.8 billion (about one month of imports).

Inflation has averaged above 30 percent during the first seven months of FY22, driven by food prices, a recent increase in fuel prices, and expectations. Despite continued nominal depreciation, high inflation has resulted in the real exchange rate remaining broadly unchanged during this period. After some slowdown over the summer, base money growth has picked up again, reaching 33.4 percent during the first five months of the fiscal year. Broad money growth eased to 24 percent, impacted by the temporary instruction to freeze bank loan disbursements, which was lifted in December.

Revenue collection remains sluggish, growing at an estimate of 15 percent, in nominal terms, during the first half of FY22. In January, the parliament approved a supplementary budget comprising additional outlays on defense and reconstruction amounting to about US$2.5 billion (2.3 percent of GDP).

About 30 percent of households continue reporting inability to purchase essential items (food, medicines), and in the April 2021 round of the high-frequency survey there was a surge in the number of households mentioning high prices were their main impediment. The ongoing armed conflict has had a severe impact on food security: the World Food Program (WFP) estimated that as of November 2021, 9.4 million people needed humanitarian food assistance in northern Ethiopia.

Outlook

The growth figure for FY22 has been revised down on account of the intensification of the conflict during the first months of the fiscal year, the introduction of more stringent foreign exchange surrendering requirements, and the new requirement for banks to invest 1 percent of outstanding credit on Development Bank of Ethiopia bonds, which will likely hold back economic activity. Prices are expected to keep rising the coming months, as monetary policy has loosened again, crop production has likely been impacted by the conflict, and international commodity prices remain high. The economic consequences of the Russian invasion of Ukraine, war and associated sanctions are expected to result in further deterioration of the balance of payments and inflationary pressures. This outlook expects some rebound in economic activity in FY23 assuming the conflict in Tigray does not reignite.

The poverty trajectory is uncertain due to offsetting factors. On one hand, armed conflict, persistent droughts in lowland regions and rising inflation, are expected to have driven a large number of people into poverty. On the other hand, growth in other sectors and parts of the country is expected to alleviate poverty. Whether the poverty effect of growth can fully offset the impact of the conflict, droughts and inflation is unclear, but their intensity suggests that progress in poverty reduction will be lower than in previous periods.

TABLE 2 Ethiopia / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2018/19	2019/20	2020/21	2021/22e	2022/23f	2023/24f
Real GDP growth, at constant market prices	9.0	6.1	6.3	3.3	5.2	5.9
Private Consumption	5.1	5.0	3.0	2.5	2.8	3.3
Government Consumption	7.2	0.6	12.2	21.1	3.8	3.1
Gross Fixed Capital Investment	15.1	5.6	7.6	-1.0	8.3	9.8
Exports, Goods and Services	3.0	3.4	5.5	6.2	6.8	7.5
Imports, Goods and Services	5.4	-1.9	2.0	3.8	4.2	5.1
Real GDP growth, at constant factor prices	9.0	6.1	6.3	3.3	5.2	5.9
Agriculture	3.8	4.3	5.5	2.5	4.0	4.0
Industry	11.5	9.6	7.3	5.5	9.5	9.5
Services	12.0	5.2	6.3	2.4	3.0	4.7
Inflation (Consumer Price Index)	12.5	19.9	20.2	34.2	25.6	16.9
Current Account Balance (% of GDP)	-5.1	-4.1	-2.7	-4.5	-4.1	-3.8
Fiscal Balance (% of GDP)	-2.5	-2.8	-2.8	-4.2	-3.3	-2.9
Debt (% of GDP)	57.3	56.5	56.6	56.0	55.6	53.2
Primary Balance (% of GDP)	-2.0	-2.4	-2.2	-3.6	-2.7	-2.3
International poverty rate ($1.9 in 2011 PPP)[a,b]	25.9	25.2	24.5	24.4	23.9	23.3
Lower middle-income poverty rate ($3.2 in 2011 PPP)[a,b]	63.7	63.0	62.2	62.0	61.5	60.8
Upper middle-income poverty rate ($5.5 in 2011 PPP)[a,b]	83.4	82.4	81.4	81.2	80.5	79.5
GHG emissions growth (mtCO2e)	2.0	1.1	1.2	0.6	1.2	1.5
Energy related GHG emissions (% of total)	24.6	23.2	21.7	19.9	18.4	17.0

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
a/ Calculations based on 2015-HICES, 2018-, and 2015-HICES. Actual data: 2015. Nowcast: 2016-2021. Forecasts are from 2022 to 2024.
b/ Projection using point to point elasticity at regional level with pass-through = 1 based on GDP per capita in constant LCU.
Note: Growth projections are based on limited information and stand to be updated/revised based on improved data availability.